

POLICY FOR DETERMINATION OF LEGITIMATE PURPOSE

1. PURPOSE

The purpose of this Policy of Astonea Labs Limited is to establish a clear and structured framework for determining what constitutes a “Legitimate Purpose” for sharing Unpublished Price Sensitive Information (UPSI) by Insiders, in compliance with:

- Regulation 3(2A) and 3(2B) of SEBI (Prohibition of Insider Trading) Regulations, 2015, which governs the sharing of UPSI and allows its disclosure only for legitimate purposes; and
- The Company’s overarching Insider Trading Code, aimed at preventing misuse of sensitive information.

This Policy seeks to ensure that UPSI is disclosed only on a need-to-know basis and in circumstances that support the legitimate business interests of the Company, while safeguarding market integrity and investor confidence.

This Policy also recognizes that UPSI may be shared with persons or entities having a fiduciary relationship with the Company, including lenders, investors, or advisors, strictly for legitimate purposes as per SEBI Circular SEBI/HO/ISD/ISD/CIR/P/2019/13.

2. SCOPE

This Policy applies to:

- All Insiders, including Directors, Key Managerial Personnel (KMP), Employees, and Connected Persons as defined under the SEBI PIT Regulations.
- All instances of sharing UPSI within and outside the Company, whether with employees, consultants, professional advisors, or third parties.
- This Policy also applies to any person or entity in a fiduciary capacity who receives UPSI for legitimate purposes, including lenders, investors, or due diligence advisors.

3. DEFINITION OF LEGITIMATE PURPOSE

“**Legitimate Purpose**” refers to any disclosure of UPSI that is necessary for the Company to conduct its normal business operations, subject to confidentiality agreements, including but not limited to:

1. Disclosures in the ordinary course of business to professional advisors, consultants, bankers, legal counsel, auditors, or regulatory authorities.
2. Disclosures required by law or under any regulatory or statutory obligation.
3. Disclosures for contractual obligations with business partners, vendors, or other counterparties where the disclosure is necessary to fulfill agreed contractual commitments.
4. Disclosures to promote corporate objectives, such as mergers, acquisitions, strategic partnerships, or fundraising activities, where UPSI is shared on a strict need-to-know basis.

Note: All disclosures made for Legitimate Purposes must be accompanied by an obligation on the recipient to maintain confidentiality and refrain from trading based on such information.

Recipients of UPSI are strictly prohibited from trading in the Company's securities until such information is publicly disclosed or ceases to be price-sensitive. Disclosure should be made only when necessary and for the minimum period required to fulfill the legitimate purpose.

4. PROCEDURE FOR DETERMINATION

1. Identification of UPSI: Any information that qualifies as UPSI must first be identified and evaluated by the Compliance Officer.
2. Assessment of Legitimate Purpose: The Compliance Officer, in consultation with the Managing Director / CEO or designated authority, will assess whether the proposed disclosure qualifies as a Legitimate Purpose.
3. Documentation: All determinations must be documented in writing, including the nature of the UPSI, the purpose of disclosure, and the list of recipients.
4. Need-to-Know Principle: UPSI shall only be shared with persons who require the information to discharge their duties for the legitimate business purpose identified.
5. Confidentiality Agreement: Recipients of UPSI for Legitimate Purposes must execute a confidentiality undertaking to ensure compliance with SEBI PIT Regulations.
6. The Compliance Officer has the final authority to approve or restrict sharing of UPSI. All records of UPSI sharing, including the date, purpose, recipients, and nature of information, shall be maintained in a secure digital format for a minimum period of five years.

5. GOVERNANCE AND COMPLIANCE

- The Compliance Officer shall monitor all disclosures of UPSI for Legitimate Purposes and maintain a record of recipients.
- Any breach or misuse of UPSI, whether intentional or inadvertent, shall be reported immediately to the Audit Committee and may result in disciplinary action, including termination and reporting to SEBI, as applicable.
- This Policy shall be reviewed periodically, at least once a year, to ensure continued alignment with SEBI regulations and best practices in corporate governance.
- The Company shall conduct periodic training and awareness programs for all Insiders, KMPs, and Connected Persons to ensure understanding of legitimate purpose, confidentiality obligations, and trading restrictions under SEBI PIT Regulations.

6. DISCLOSURE

This Policy shall be:

- Published on the Company's website to ensure transparency for stakeholders, and
- Included in the Annual Report as part of compliance with SEBI (Prohibition of Insider Trading) Regulations, 2015.

Review Cycle: Annual
